Construction Partners (ROAD)

Sunbelt Scale Collides with Capital Structure Reality

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Construction Partners has built exceptional operational momentum across the Southeast public infrastructure market, lifting project backlog to an unprecedented $3.36B and delivering sequential guidance raises throughout FY2026. However, equity valuation has severely outrun the company's underlying cash conversion profile, as spot pricing reflects flawless compounding despite persistent net debt of $1.53B and an operating margin constrained to 8.5% in FY2025. With financing costs, weather disruptions, and energy cost volatility continuing to introduce operational friction, current trading multiples demand an unrealistic path of simultaneous debt paydown and margin expansion. We initiate coverage with a Hold rating and a probability-weighted blended price target of $66.33, representing -21.2% upside from the reference spot price of $84.20.

HOLD	$66.33	-21.2%	$84.20
Hold — Valuation Concerns	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE
INVESTMENT RATING			

The consensus narrative remains fixated on top-line acceleration and gross contract backlog expansion under the ROAD 2030 strategy, overlooking the reality that acquisition-driven leverage leaves net income acutely vulnerable to operating headwinds. While the market prices the franchise as an unencumbered compounder, high debt service obligations and recurring input cost inflation create structural drags on free cash flow generation.

EXECUTIVE SUMMARY

Construction Partners operates as a specialized road construction and asphalt paving company serving public agencies across the Southeast US. The business model combines localized civil contracting execution with vertical integration, supplying asphalt mix and execution services across core municipal, county, and state Department of Transportation networks. Historically anchored in foundational Southeastern geographies including Alabama and Tennessee, the organization has aggressively expanded its operational contiguous footprint into high-growth corridors such as Texas and Oklahoma through programmatic platform acquisitions. Public infrastructure agency procurement cycles, underpinned by multi-year funding frameworks including the Infrastructure Investment and Jobs Act (IIJA), establish substantial baseline visibility for paving programs and maintenance resurfacing awards.

Recent operational results capture an organization executing at peak volumes alongside emerging cost frictions. In Q3 FY2026, revenue expanded 28% year over year to reach $999M, while total project backlog climbed to a record $3.36B, prompting management to raise full-year guidance for the second consecutive quarter. Despite this commercial momentum, adjusted EBITDA margin contracted to 16.3% from 16.9% in the prior-year period as energy cost inflation overwhelmed liquid asphalt indexing and diesel hedges, compounding disruptions caused by persistent wet weather. This followed Q2 FY2026 revenue expansion of 35% year over year to $769.2M, which was powered by an acceleration in organic growth to 11% compared to 3.5% in Q1 FY2026, even as Q2 adjusted EBITDA margin remained flat year over year at 12.13%. In Q1 FY2026, the company generated $809.5M in revenue, up 44% year over year, with adjusted EBITDA margins expanding 160 basis points to a first-quarter record of 13.9%, reversing a prior-year net loss to a net income of $17.2M. Full-year FY2025 concluded with $2.812B in revenue, up 54% year over year on 8.4% organic and 45.6% acquisitive growth, accompanied by $423.7M in adjusted EBITDA at a 15.0% margin.

Capital allocation and balance sheet leverage remain central structural constraints on shareholder value creation. For full-year FY2025, Construction Partners generated $2.81B in reported revenue, $439.1M in gross profit, $239.8M in operating income, and $101.8M in net income, resulting in a modest operating margin of 8.5% and a return on equity of 11.2%. Free cash flow reached $153.4M, equivalent to a 5.5% free cash flow margin, which narrowed from earlier run rates due to heavy reinvestment. The balance sheet carries substantial debt incurred to finance rapid geographic consolidation, with total debt standing at $1.69B and cash reserves at $156.1M, yielding a net debt position of $1.53B. Net leverage closed FY2025 at approximately 3.43x, remaining substantially elevated above the corporate target of 2.5x. The burden of this leverage was starkly demonstrated in Q2 FY2026, when quarterly interest expense of $25.6M consumed 68% of the company's $37.4M operating income. While platform acquisitions have successfully scaled the top line, the sheer velocity of activity, closing eight strategic acquisitions in under 15 months, introduces notable balance sheet rigidity and integration complexity.

OPERATIONAL SNAPSHOT

$84.20	$2.81B	$153.4M	5.5%	0.95	$84.20
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-20.

THE MOAT IS LOCALIZED AND INTEGRATED

The competitive durability of Construction Partners is anchored in localized logistics and operational integration rather than wide intellectual property barriers. In the road construction and asphalt paving industry, liquid asphalt and aggregate hot-mix plants have strictly constrained economic hauling radii, typically limited to 30 to 50 miles before material cooling impairs compaction standards. By positioning production facilities across secondary and tertiary markets throughout the Southeast US, Construction Partners establishes regional operational density. This asset

footprint deters distant competitors from bidding effectively on municipal and state DOT resurfacing projects, creating regional bidding moats around public agency maintenance schedules.

Customer relationships with public agencies across Southeastern states are characterized by high operational inertia and qualification requirements rather than statutory switching costs. Public procurement rules require bidders to hold extensive pre-qualification licenses, bonded capacity, and verified compliance with state DOT material specifications. While public tenders are strictly competitive on nominal cost, local operational density allows integrated operators to optimize dispatch logistics, manage aggregate delivery, and recycle asphalt pavement far more efficiently than unintegrated contractors. Consequently, Construction Partners maintains consistent win rates across routine resurfacing awards, preserving revenue visibility without resorting to price concession strategies.

Pricing power in civil paving contracts is structurally linked to contractual cost-indexing mechanisms rather than unconstrained markups. Standard public agency infrastructure contracts incorporate indexing clauses for major raw inputs such as liquid asphalt binder, shielding the firm from long-term commodity swings. However, as demonstrated in Q3 FY2026 when adjusted EBITDA margin slipped to 16.3% from 16.9%, sudden spikes in energy costs and localized diesel inflation can outrun formulaic indexing updates and operational hedges. The localized integration of asphalt plants grants defensible baseline gross margins, but the outdoor execution nature of paving leaves day-to-day conversion exposed to weather shocks and input lag times.

VALUATION

Three scenarios make the valuation range explicit

Our valuation framework evaluates Construction Partners across a rigorous five-year forecast window spanning FY2026 to FY2030, anchored on an institutional discounted cash flow architecture. The firm's valuation profile currently trades at an elevated reference spot price of $84.20, representing a market capitalization of $4.78B across 56.8 million diluted shares. Multiples reflect substantial optimistic sentiment, with trailing spot enterprise value at 2.2x FY2025 revenue and 16.9x FY2025 EBITDA, while spot price stands at 45.8x FY2025 diluted EPS of $1.84. Market cap to latest fiscal year revenue is 1.7x. The cash flow model explicitly bridges top-line revenue trajectories to normalized terminal cash conversion, discounting forward unlevered free cash flows at an enterprise discount rate of 8.49%.

Across our scenario architecture, terminal cash generation is governed by structural margin realization and organic volume reinvestment. In the Base Case, revenue compounds at an 8.5% CAGR over the FY2026 to FY2030 forecast window, accompanied by a target free cash flow margin of 6.7% in the final forecast year. This baseline incorporates normalized public works spending, steady execution of the ROAD 2030 strategy, and measured deleveraging toward target levels, generating a base equity target of $62.32, which sits -26.0% below the prevailing spot price. Terminal value assumptions apply an 8.49% discount rate and a conservative 3.0% perpetual terminal growth rate, reflecting long-term infrastructure reinvestment trends across Southeastern markets.

The valuation distribution demonstrates severe asymmetry due to the balance sheet debt load. The Bear Case projects a decelerating 4.5% revenue CAGR through FY2030 alongside a compressed target free cash flow margin of 5.4%, yielding an intrinsic equity value of $34.65, or -58.8% vs spot. Conversely, the Bull Case assumes

sustained programmatic roll-up success, modeling a 13.5% revenue CAGR and an expanding target free cash flow margin of 8.3%, deriving an equity value of $106.04, or +25.9% vs spot. Weighting these scenarios 25% Bear, 50% Base, and 25% Bull yields a blended target price of $66.33, implying -21.2% downside from the reference spot level.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	4.5%	5.4%	$34.65	-58.8%
Base	50%	8.5%	6.7%	$62.32	-26.0%
Bull	25%	13.5%	8.3%	$106.04	+25.9%

Bear $34.65

A deceleration in revenue compounding to 4.5% CAGR combined with persistent input cost inflation compresses target FCF margin to 5.4%. Elevated interest expenses on $1.53B net debt continuously devour operating profits, leaving minimal equity cash flow amidst weather interruptions.

Base $62.32

Execution of the ROAD 2030 strategy yields an 8.5% revenue CAGR with FCF margins normalizing to 6.7% by FY2030. Disciplined conversion of the $3.36B backlog enables gradual balance sheet deleveraging, but equity upside remains capped below current market multiples.

Bull $106.04

Top-line growth accelerates to a 13.5% CAGR as high-margin public agency awards and seamless integration of Texas and Oklahoma platforms drive target FCF margin to 8.3%. Rapid operational deleveraging relieves interest burdens and unlocks terminal equity value.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

Our cost of capital determination applies a rigorous capital asset pricing model framework, establishing an enterprise WACC of 8.49%. The discount rate directly integrates an equity beta input of 0.95, capturing the non-discretionary, recurring maintenance nature of public road paving contracts balanced against operational leverage and weather sensitivity. Public road construction exhibits defensive demand traits due to dedicated state gas tax allocations and federal infrastructure appropriations, justifying a beta modestly below market unity.

However, the 8.49% hurdle rate also accounts for the capital structure strain introduced by $1.69B in total debt and $1.53B in net debt. With net leverage finishing FY2025 at ~3.43x, debt service carries significant priority over common equity distributions. In periods of high base interest rates, as evidenced by the $25.6M Q2 FY2026 interest expense that absorbed 68% of operating income, the enterprise cost of capital must penalize equity holders for the financial rigidity of

KEY VALUATION PARAMETERS

Forecast window	**FY2026 to FY2030**
Live WACC	**8.49% (2026-10-20)**
Terminal growth	**3.0%**
Equity beta	**0.95**
Diluted shares	**56.8 million**

HOLD

debt-fueled roll-ups. The WACC of 8.49% reflects this structural reality rather than an unconstrained infrastructure compounder discount rate.

FCF margin normalization is the engine

Free cash flow margin trajectory serves as the primary valuation arbiter across our model window. In FY2025, Construction Partners generated a 5.5% FCF margin on $153.4M of free cash flow, having seen quarterly FCF margin retreat to 8.8% in Q4 FY2025 from 15.6% in the prior-year period. Converting GAAP operating margins, which stood at 8.5% in FY2025, into sustainable equity cash flow requires managing significant working capital requirements and fleet equipment CapEx necessary to service paving contracts.

Our explicit forecast bridges the final year target FCF margin from 5.4% in the Bear Case up to 8.3% in the Bull Case, with the Base Case targeting 6.7%. Margin normalization depends on whether scale efficiencies from recent platform expansions into Oklahoma and Texas can neutralize recurring inflation in liquid asphalt, diesel, and fleet maintenance. Should energy cost inflation persist as observed in Q3 FY2026, conversion will compress toward the bear threshold of 5.4%, impairing intrinsic valuation.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

over $66.33

blended target

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on Public Infrastructure Procurement and Programmatic Platform Integration HOLD

Public infrastructure agency spending across the Southeast US represents the core organic volume engine for Construction Partners. State DOT budgets and local municipal road maintenance programs have expanded considerably, driven by population inflows into Sunbelt corridors and federal IIJA funding deployments. This sustained procurement cadence supported the steady expansion of project backlog from $2.66B in Q1 FY2025 to $3.09B in Q1 FY2026, $3.14B in Q2 FY2026, and a record $3.36B in Q3 FY2026. Backlog visibility ensures high

plant utilization rates across paving networks, insulating the operational core from cyclical commercial construction downturns.

The programmatic roll-up strategy constitutes the second primary driver of enterprise scale. In FY2025, total revenue grew 54.2% to $2.81B, with acquisitive growth contributing 45.6% compared to 8.4% organic expansion. The company executed five platform acquisitions that established footprints in Texas and Oklahoma while consolidating existing density in Tennessee and Alabama. Overall, management integrated eight strategic acquisitions within a 15-month span. In Q2 FY2026, organic growth demonstrated meaningful reacceleration to 11%, up from 3.5% in Q1 FY2026, proving that legacy and acquired platforms can generate baseline volume alongside inorganic additions.

Operational execution, however, remains vulnerable to environmental and input cost variances. In Q3 FY2026, despite reaching $999M in revenue (up 28% year over year) and raising full-year FY2026 guidance for the second consecutive quarter with an implied Q4 revenue run-rate of approximately $1.08B, adjusted EBITDA margin compressed by 60 basis points to 16.3%. Wet weather patterns repeatedly disrupted paving operations, and energy cost inflation proved too rapid for contractual liquid asphalt escalation indexes and diesel hedges to fully absorb. These dynamics illustrate the recurring margin ceiling imposed on civil construction execution.

What to monitor

- **Backlog conversion and burn rate** The operational burn velocity of the record $3.36B project backlog against quarterly booking replacement rates across core Southeast public agency accounts.
- **Organic volume versus inorganic growth mix** The sustainability of double-digit organic growth following the 11% reported in Q2 FY2026 versus dependency on M&A transaction volume.
- **Balance sheet deleveraging progress** Reduction of net leverage from the ~3.43x level recorded at FY2025 close toward management's stated target of 2.5x net debt to EBITDA.
- **Input cost indexing lag** The efficacy of contract price indexing and fuel hedging programs during periods of volatile liquid asphalt and energy price movements.

+54.2%	15.6%	8.5%	5.5%	$1.53B	11.2%
FY2025 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET DEBT	RETURN ON EQUITY

METRIC	FY2025 (AS REPORTED)
Revenue	$2.81B
Gross Profit	$439.1M
EBIT	$239.8M
Net Income	$101.8M
EBITDA	$373.2M
Free Cash Flow	$153.4M

Diluted EPS	$1.84
ROE	11.2%

RISK & MOAT MATRIX

The bear case

SHARE EROSION

Intense bidding competition from localized independent contractors could pressure gross contract margins on public tenders across core Southeastern markets. Margin contraction observed in Q3 FY2026 highlights the ongoing risk of aggressive local pricing behavior.

M&A DIGESTION

Executing eight platform acquisitions across a 15-month window introduces elevated organizational friction and operational complexity. Integrating distinct regional operating teams across Texas and Oklahoma risks operational distraction and overhead escalation.

REGULATORY AND PRICING SCRUTINY

Public agency contracting guidelines subject road construction awards to rigorous auditing and strict escalation formula limitations. Inability to pass through full operational cost inflation under state DOT contracts threatens operating profitability.

TECHNOLOGY DISRUPTION

Advancements in asphalt recycling specifications and low-temperature mix production require steady capital reinvestment into manufacturing facilities. Failure to modernize batching infrastructure risks losing preferred vendor qualifications on state DOT projects.

REINVESTMENT TREADMILL

Paving equipment fleets, milling machines, and hot-mix asphalt facilities require relentless capital expenditures and regular maintenance overhauls. Sustained reinvestment needs constrain structural free cash flow conversion, keeping FY2025 FCF margin limited to 5.5%.

WACC AND DURATION SENSITIVITY

Carrying $1.69B in total debt leaves enterprise value exceptionally exposed to prevailing financing costs and restrictive debt service burdens. In Q2 FY2026, interest expense of $25.6M consumed 68% of operating income, illustrating acute financial leverage risks.

The strengths

OLIGOPOLY POSITION

Vertical integration across asphalt production facilities and local paving crews establishes commanding logistical

FCF COMPOUNDING

Disciplined project execution under the ROAD 2030 strategy supported full-year FY2025 free cash flow

GEOGRAPHIC DURABILITY

A footprint extending across Alabama, Tennessee, Texas, and Oklahoma aligns

PIPELINE OPTIONALITY

A record contract backlog of $3.36B as of Q3 FY2026 provides clear multi-year revenue

presence within regional hauling radii. Controlled raw material supply deters non-integrated civil contractors from competing effectively on major DOT resurfacing awards.

generation of $153.4M on $2.81B revenue. Long-term margin normalization modeled up to 8.3% provides cash generation potential when acquisition spending moderates.

operations with major population migration corridors in the Sunbelt. Federal IIJA disbursements and municipal tax allocations ensure recurring roadway maintenance funding across all primary territories.

visibility and operational planning advantages. Substantial committed contract inventory allows management to selectively bid on higher-margin specialized municipal projects.

The bottom line on risk and reward

Construction Partners exhibits strong industrial characteristics, underpinned by a commanding Southeastern market footprint, defensive public agency demand, and a record $3.36B project backlog. The operational roll-up playbook has successfully achieved critical mass, scaling FY2025 revenue to $2.81B and driving adjusted EBITDA to $423.7M. The execution of the ROAD 2030 strategy continues to demonstrate tangible commercial wins, evidenced by consecutive guidance increases in FY2026 and robust public infrastructure appropriations across expanding operating hubs in Texas and Oklahoma.

Nonetheless, equity valuation multiples have decoupled from the operational risks inherent in the business model. Spot trading levels of $84.20 value Construction Partners at 45.8x trailing diluted EPS and 16.9x EV/EBITDA, leaving no safety margin for weather interruptions, energy price volatility, or debt service pressure. With net debt standing at $1.53B and net leverage at ~3.43x, quarterly interest expense absorbing upwards of two-thirds of operating income creates severe equity vulnerability during periods of operational friction. We maintain our Hold — Valuation Concerns rating and established blended price target of $66.33, implying -21.2% downside from the current market price.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

FRANCHISE DEEP DIVE

Road Construction and Asphalt Paving: Public Infrastructure Execution Engine

The operational core of Construction Partners is centered on road construction and asphalt paving services delivered to public agencies across the Southeast US. Rather than pursuing speculative commercial development or mega-scale joint ventures, the organization focuses on state, county, and municipal repair, widening, and resurfacing projects. These public agency programs are characterized by recurring maintenance mandates, funded through municipal bonding, state fuel taxes, and federal grant authorizations. Operating through vertically integrated hubs, the company controls both the upstream production of hot-mix asphalt and the downstream field execution, providing a tight logistical loop that optimizes crew utilization and plant runtime.

Market expansion has systematically targeted high-growth Sunbelt economies characterized by continuous infrastructure demand. Platform acquisitions in Texas and Oklahoma, combined with deep historical density across

Alabama and Tennessee, have scaled the production asset base and local contracting crews. This regional network density allows Construction Partners to internally source asphalt mixes, incorporate recycled asphalt materials, and dispatch paving spreads with minimal transit time. By controlling localized manufacturing assets within strict 30-to-50-mile logistics zones, the franchise establishes defensible operational barriers that insulate local market share from outside entrants.

Despite these strategic strengths, the franchise operates under continuous environmental and operational constraints. Because asphalt paving is strictly an outdoor, weather-dependent activity, prolonged precipitation directly stalls operational productivity, as seen in repeated quarterly headwinds. Furthermore, while long-term public agency contracts typically include indexing provisions for liquid asphalt binder, sudden price movements in energy, fuel, and equipment maintenance cannot always be instantaneously passed through. Consequently, sustaining operating margin expansion requires continuous operational diligence and disciplined project bidding.

What the recent record shows

- Full-year FY2025 delivered transformative growth with revenue reaching $2.812B (up 54% YoY) and adjusted EBITDA of $423.7M (up 92% YoY), driven by 8.4% organic growth and 45.6% acquisitive contributions from five platform deals.
- Q1 FY2026 generated a blowout start to the fiscal year, with revenue expanding 44% YoY to $809.5M, adjusted EBITDA margin reaching a Q1-record 13.9%, and net income reversing to $17.2M from a prior-year loss of $3.1M.
- Q2 FY2026 demonstrated reaccelerating organic growth of 11% (versus 3.5% in Q1) on $769.2M in revenue, though interest expense of $25.6M consumed 68% of the quarter's $37.4M operating income.
- Q3 FY2026 set a project backlog record of $3.36B and grew revenue 28% YoY to $999M, enabling a second consecutive guidance raise, though adjusted EBITDA margin slipped to 16.3% due to energy inflation and wet weather.

Our read: Construction Partners maintains exceptional commercial visibility across its public agency footprint, backed by a robust $3.36B backlog. However, with the capital structure burdened by $1.53B in net debt and margins vulnerable to energy inflation, current market prices reflect an overly optimistic valuation profile that warrants a cautious Hold stance.